

REPORT OF THE DIRECTORS

The Directors present their annual report and the audited accounts for the year ended 31 December 1990.

CHAIRMAN

Sir Archibald Forster continued as Chairman of the Board of Directors throughout 1990.

DIRECTORS

The present Directors of the Company are noted on page 1.

All the Directors retire at the Annual General Meeting and are eligible for re-election.

DIRECTORS' INTERESTS

During the year and in the period to 25 March 1991 none of the Directors had any interests in shares of any company in the Group or of any other company such as would require to be disclosed in accordance with the provisions of Schedule 7 of the Companies Act 1985.

REVIEW OF THE BUSINESS

The principal activities of the Group are the refining, distribution and marketing of petroleum products in the United Kingdom.

The principal subsidiaries of the Company at 31 December 1990 are listed in note 10 to the accounts.

During the year the Group share of sales of petroleum products in the United Kingdom was at similar levels to that achieved in the previous year. 1990 was a successful year in spite of strong competition and volatile price movements. Significant slowdown in growth of the British economy, coupled with the warmer than normal weather, resulted in the United Kingdom oil demand increasing by only half a percent versus 1989.

FUTURE DEVELOPMENTS

The Group intends to remain a major refiner and marketer of petroleum products in the United Kingdom.

RESEARCH AND DEVELOPMENT

The Esso Research Centre near Abingdon is the focus of the petroleum products research effort in support of the Group's activities in the United Kingdom. It played a key role in the launch during the third quarter of Esso Performance Fuels which were designed to meet the needs of new cars and engines. The centre has a specialist responsibility to Exxon corporation worldwide for research into automotive and aviation fuels and engine lubricants. A comprehensive technical support service is provided, covering crude oils, industrial fuels and lubricants, bitumens and greases.

The Centre also provides research and guidance to the Group on environmental matters and is the location for research by Exxon Chemical.

The Group is also able to call on the extensive research and development resources of Exxon Corporation.

RESULTS AND DIVIDENDS

Group net profit for the year was £113 million. No dividends were paid during the year.

CHANGES IN FIXED ASSETS

Additions to fixed assets of the Group for the year amounted to £196 million. Net tangible assets increased by £133 million to £1 434 million. Further details of fixed assets are provided in notes 8 and 9 to the accounts.

DONATIONS

During 1990 the Group made donations and other support to the community of £1 386 000. Of this, charitable donations amounted to £266 580. There were no political donations.

GROUP PROFIT AND LOSS ACCOUNT

for the year ended 31 December

	Note	1990 £m	1989 £m
Gross Turnover		4,765.1	4,466.3
Excise duties and VAT		(2,173.8)	(1,994.9)
Net Turnover	1	2,591.3	2,471.4
Cost of Sales	2	(2,019.5)	(1,967.2)
Gross Profit		571.8	504.2
Distribution Costs	2	(307.7)	(300.6)
Administrative Expenses	2	(32.7)	(24.7)
Interest Receivable		21.0	10.7
Interest Payable	3	(133.8)	(88.1)
PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION	4	118.6	101.5
Taxation on profit on ordinary activities	6	(3.5)	(6.4)
PROFIT ON ORDINARY ACTIVITIES AFTER TAXATION		115.1	95.1
Minority Interest		(2.4)	(2.1)
PROFIT FOR THE FINANCIAL YEAR	7	112.7	93.0
Amounts added to reserves	18	(112.7)	(79.0)
DIVIDENDS PAID		0.0	14.0

BALANCE SHEETS

as at 31 December

	NOTE	GROUP 1990 £m	1989 £m	COMPANY 1990 £m	1989 £m
FIXED ASSETS					
Intangible Assets	8	23.4	20.2	1.1	2.0
Tangible Assets	9	1,433.8	1,301.4	1,395.7	1,270.0
Investments	10	0.0	0.0	56.4	39.1
TOTAL FIXED ASSETS		1,457.2	1,321.6	1,453.2	1,311.1
CURRENT ASSETS					
Stocks	11	344.9	347.0	338.1	339.1
Debtors	12	838.6	364.8	840.4	378.8
Cash at Bank and in Hand		26.3	25.7	18.4	20.1
TOTAL CURRENT ASSETS		1,209.8	737.5	1,196.9	738.0
CREDITORS FALLING DUE WITHIN ONE YEAR	13	(1,076.5)	(784.4)	(1,075.0)	(786.8)
NET CURRENT ASSETS / (LIABILITIES)		133.3	(46.9)	121.9	(48.8)
TOTAL ASSETS LESS CURRENT LIABILITIES		1,590.5	1,274.7	1,575.1	1,262.3
CREDITORS FALLING DUE AFTER MORE THAN ONE YEAR	13	666.6	462.9	665.6	462.0
DEFERRED TAXATION	15	5.6	6.5	0.0	0.0
MINORITY INTEREST	16	2.4	2.1	0.0	0.0
CAPITAL AND RESERVES					
Called up Share Capital	17	228.4	228.4	228.4	228.4
Revaluation Reserve	18	330.5	331.0	330.5	331.0
Profit and Loss Account	18	357.0	243.8	350.6	240.9
TOTAL CAPITAL AND RESERVES		915.9	803.2	909.5	800.3
		1,590.5	1,274.7	1,575.1	1,262.3

Archibald Forster Sir Archibald Forster Director
Mr J I Alcock Mr J I Alcock Director

25 March 1991